

Mindteck Middle East Limited SPC

Financial Statements and Independent Auditor's
Report for the Year Ended 31 March 2019

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Mindteck Middle East Limited SPC
General information

Commercial registration number	49063
Board of directors	Pradeep Kizhakkethil Shankattu Shivarama Adiga
Registered office	PO Box 10795 Flat 44, Building 81 Road 1702, Block 317 Manama, Kingdom of Bahrain
Banks	HSBC Bank Middle East Limited, Bahrain Citibank, Bahrain
Auditor	RSM Bahrain PO Box 11816, Manama Kingdom of Bahrain

Board of directors' report for the year ended 31 March 2019

www.mindteck.com

The Board of Directors present its report and audited financial statements of Mindteck Middle East Limited SPC (the 'Company') for the year ended 31 March 2019.

Board of directors

The members of the Board of Directors are as follows:

Pradeep Kizhakkethil

Shankattu Shivarama Adiga

Designation

Director

Director

Principal activities

The principle activities of the Company are to provide:

- (i) Computer programming activities; and
- (ii) Computer Consultancy and computer facilities management activities.

Review of current position, future developments and significant risks

The Company's development to date, financial performance and position as presented in the financial statements are considered not satisfactory since it's making continuous losses. However, the parent (Mindteck India limited) has shown commitment to inject funds as and when needed. Hence, these financial statements are prepared on the basis that the Company is a going concern.

The most significant risks faced by the Company and steps taken to manage these risks are described in note 19 of the financial statements.

Financial performance

The Company's financial performances for the year are set out on page 8.

Compliance

The board declares that the Company did not have any dealing with any sanctioned person or entity, and there were no unusual transactions carried out during the year.

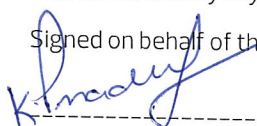
Independent auditor

The independent auditor, RSM Bahrain, has expressed its willingness to be in office and a resolution giving authority to the Board of directors to fix their remuneration will be proposed at the annual general meeting.

Acknowledgement

We express our sincere thanks and appreciation to all of you for your sustained co-operation and support during the year. We would also like to express our gratitude to the management and staff for their continued hard work, dedication and loyalty during the year.

Signed on behalf of the board of directors:



Pradeep Kizhakkethil
(Director)

28 May 2019

Manama, Kingdom of Bahrain

RSM Bahrain

PO Box 11816
Diplomatic Area
Bahrain

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www.rsm.bh

Independent auditor's report

To the Owner of Mindteck Middle East Limited SPC

Qualified opinion

We have audited the financial statements of Mindteck Middle East Limited SPC (the "Company"), which comprise the statement of financial position as at 31 March 2019, the statement of profit or loss and other comprehensive income, the statement of changes in equity, the statement of cash flows for the year then ended, and notes to the financial statements, including a summary of significant accounting policies.

In our opinion, except for the possible effects of the matter described in the basis for qualified opinion paragraph, the accompanying financial statements present fairly, in all material respects, the financial position of the Company as at 31 March 2019, and its financial performance and its cash flows for the year then ended in accordance with International Financial Reporting Standards (IFRSs).

Basis for qualified opinion

We have not received a response to the audit inquiry letter sent to the legal advisors of the Company. In the absence of lawyer's response to the audit inquiry, the outcome of any legal matter cannot presently be determined, and no provision for any liability that may result has been made in the financial statements.

We conducted our audit in accordance with International Standards on Auditing (ISAs). Our responsibilities under those standards are further described in the Auditor's Responsibilities for the Audit of the Financial Statements section of our report. We are independent of the Company in accordance with the International Ethics Standards Board for Accountants' Code of Ethics for Professional Accountants (IESBA Code), and we have fulfilled our other ethical responsibilities in accordance with the IESBA Code. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our qualified opinion.

Material uncertainty related to going concern

We draw attention to note 2.3 of the financial statements which indicates that the Company incurred a net loss of BD 10,376 during the year ended 31 March 2019, and as at that date, the Company's total liabilities exceeded its total assets by BD 28,786. As stated in note 2.3, these events indicate that a material uncertainty exists that may cast significant doubt on the Company's ability to continue as a going concern. Our opinion is not modified in respect of this matter.

Other information

Management is responsible for the other information. The other information comprises the information included in the board of directors' report, but does not include the financial statements and our auditor's report thereon.

Our opinion on the financial statements does not cover the other information and we do not express any form of assurance conclusion thereon.

In connection with our audit of the financial statements, our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the audit or otherwise appears to be materially misstated. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact. We have nothing to report in this regard.

Independent auditor's report

To the Owner of Mindteck Middle East Limited SPC

(Continued from previous page)

Responsibilities of management and those charged with governance for the financial statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with IFRSs, and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the Company or to cease operations, or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the Company's financial reporting process.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance, but is not a guarantee that an audit conducted in accordance with ISAs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with ISAs, we exercise professional judgment and maintain professional skepticism throughout the audit. We also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for our opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control.
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances, but not for the purpose of expressing an opinion on the effectiveness of the Company's internal control.
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management.
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the Company's ability to continue as a going concern. If we conclude that a material uncertainty exists, we are required to draw attention in our auditor's report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify our opinion. Our conclusions are based on the audit evidence obtained up to the date of our auditor's report. However, future events or conditions may cause the Company to cease to continue as a going concern.
- Evaluate the overall presentation, structure and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

We communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that we identify during our audit.

Independent auditor's report

To the Owner of Mindteck Middle East Limited SPC

(Continued from previous page)

Report on other legal and regulatory requirements

As required by the Bahrain Commercial Companies Law, Decree No. 21 of 2001 (the "Law"), we report that:

- a) As per the Articles of Association of the Company, the financial year end is 30 June. However, the Company has been preparing its financial statements as at 31 March each year.
- b) According to the clause 9 of the Articles of Association of the Company, the Company falls under the same rules pertaining to limited companies in relation to the annual general meeting. However, the Company did not meet the said requirement for the year ended 31 March 2018.
- c) As per Article 286 of the Law, the Company is required to file its financial statements with the Ministry of industry, Commerce and Tourism within six months of its year end. However, the Company has not met the above requirement for the year ended 31 March 2018.

Except for the matter described above and those as stated in the basis for qualified opinion section of our report, the Company has maintained proper books of account and the financial statements are in agreement therewith; the financial information included in the board of directors' report is consistent with the books of accounts of the Company; and nothing has come to our attention which causes us to believe that the Company has breached any of the applicable provisions of the Bahrain Commercial Companies Law, or of its articles of association, which would materially affect its activities, or its financial position as at 31 March 2019.



Registration no.152

28 May 2019

Manama, Kingdom of Bahrain

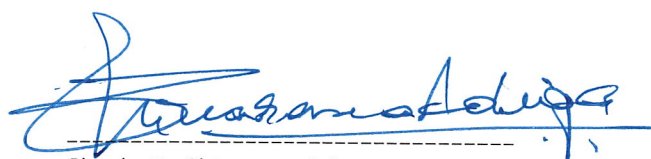
Mindteck Middle East Limited SPC

Statement of financial position as at 31 March 2019

(in Bahraini Dinars)

	Note	2019	2018
Assets			
Non-current asset			
Plant and equipment	5	121	187
		<u>121</u>	<u>187</u>
Current assets			
Trade and other receivables	6	100,652	109,832
Advances, deposits and prepayments	7	8,118	18,151
Bank balances		15,180	13,691
		<u>123,950</u>	<u>141,674</u>
Total assets		<u><u>124,071</u></u>	<u><u>141,861</u></u>
Equity and liabilities			
Equity			
Share capital	8	50,000	50,000
Statutory reserve	9	16,093	16,093
Accumulated losses		(94,879)	(81,631)
		<u>(28,786)</u>	<u>(15,538)</u>
Non-current liabilities			
Employee terminal benefits	10	20,933	45,192
		<u>20,933</u>	<u>45,192</u>
Current liabilities			
Other payables		18,538	2,288
Due to related parties	11	102,513	86,115
Accrued and other liabilities	12	10,873	23,804
		<u>131,924</u>	<u>112,207</u>
Total equity and liabilities		<u><u>124,071</u></u>	<u><u>141,861</u></u>

These financial statements were approved by the Board of Directors on 28 May 2019 and signed on its behalf by:



Shankattu Shivarama Adiga
Director



Pradeep Kizhakkethil
Director

Notes 1 to 20 on pages 11 to 23 form an integral part of these financial statements.

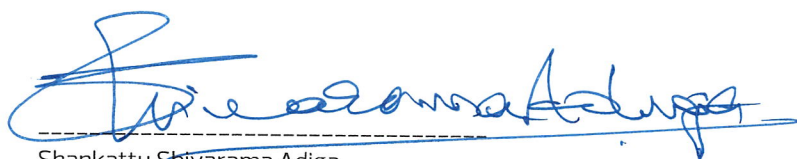
Mindteck Middle East Limited SPC

Statement of profit or loss and other comprehensive income
for the year ended 31 March 2019

(in Bahraini Dinars)

	Note	2019	2018
Income			
Revenue	13	263,601	379,059
Direct cost	14	(198,845)	(318,635)
Gross profit		64,756	60,424
Other income	15	22,885	545
		87,641	60,969
Expenses			
General and administrative expenses	16	98,017	84,096
		98,017	84,096
Loss for the year		(10,376)	(23,127)
Other comprehensive income		-	-
Total comprehensive loss for the year		(10,376)	(23,127)

These financial statements were approved by the Board of Directors on 28 May 2019 and signed on its behalf by:



Shankattu Shivarama Adiga

Director



Pradeep Kizhakkethil

Director

Notes 1 to 20 on pages 11 to 23 form an integral part of these financial statements.

Mindteck Middle East Limited SPC

Statement of changes in equity for the year ended 31 March 2019

(in Bahraini Dinars)

	<u>Share capital</u>	<u>Statutory reserve</u>	<u>Accumulated losses</u>	<u>Total</u>
As at 31 March 2017	50,000	16,093	(58,504)	7,589
Loss for the year	-	-	(23,127)	(23,127)
As at 31 March 2018	<u>50,000</u>	<u>16,093</u>	<u>(81,631)</u>	<u>(15,538)</u>
Adjustment for change in accounting policy (note: 2.4)	-	-	(2,872)	(2,872)
As at 1 April 2018	<u>50,000</u>	<u>16,093</u>	<u>(84,503)</u>	<u>(18,410)</u>
Loss for the year	-	-	(10,376)	(10,376)
As at 31 March 2019	<u>50,000</u>	<u>16,093</u>	<u>(94,879)</u>	<u>(28,786)</u>

	2019	2018
Cash flows from operating activities:		
Loss for the year	(10,376)	(23,127)
Adjustments for:		
Depreciation	66	84
Provision for employee terminal benefits	-	5,633
Reversal of provision for employee terminal benefits	(7,566)	-
Expected credit losses of trade receivables	513	1,440
Changes in operating assets and liabilities		
Trade and other receivables	5,795	(2,177)
Advances, deposits and prepayments	10,033	4,019
Other payables	16,250	11,789
Due to related parties	16,398	(25,934)
Accrued and other liabilities	(12,931)	(2,762)
Cash generated / (used in) from operations	18,182	(31,035)
Employee terminal benefits paid	(16,693)	(8,441)
Net cash generated / (used in) from operating activities	1,489	(39,476)
Net increase / (decrease) in cash and cash equivalents	1,489	(39,476)
Cash and cash equivalents at the beginning of the year	13,691	53,167
Cash and cash equivalents at the end of year	15,180	13,691

1. Legal status and principal activities

Mindteck Middle East Limited S.P.C (the "Company"), is a single person company registered with the Ministry of Industry, Commerce and Tourism in the Kingdom of Bahrain under commercial registration number 49063-1, dated 22 July 2002.

The principle activities of the Company are to provide:

- (i) Computer programming activities; and
- (ii) Computer Consultancy and computer facilities management activities.

2. Basis of preparation

2.1. Statement of Compliance

These financial statements have been prepared on a going concern basis and in accordance with International Financial Reporting Standards (IFRS), being standards and interpretations issued by the International Accounting Standards Board (IASB), in force at 31 March 2019, and the applicable provisions of the Bahrain Commercial Companies Law Decree No (21) of 2001, and amendments thereto.

The financial statements comprise a statement of financial position, statement of profit or loss and other comprehensive income, a statement of changes in equity, a statement of cash flows, and notes. Income and expenses, excluding the components of other comprehensive income, are recognised in the profit or loss. Other comprehensive income is recognised in the statement of comprehensive income and comprises items of income and expenses (including reclassification adjustments) that are not recognised in the profit or loss, as required or permitted by IFRS. Reclassification adjustments are amounts reclassified to profit or loss in the current period that were recognised in other comprehensive income in the current or previous periods. Transactions with the owner of the Company in their capacity as owner are recognised in the statement of changes in equity.

The Company presents the statement of profit or loss and other comprehensive income using the classification by function of expenses. The statement of financial position format is based on a current and non-current distinction.

2.2. Basis of measurement

These financial statements have been prepared under the historical cost convention, unless mentioned otherwise in the accounting policies below. Historical cost is generally based on the fair value of the consideration given in exchange for assets.

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date. When measuring the fair value of an asset or a liability, the Company uses market observable data to the extent possible. If the fair value of an asset or a liability is not directly observable, it is estimated by the Company (working closely with external qualified valuers) using valuation techniques that maximise the use of relevant observable inputs and minimise the use of unobservable inputs. Inputs used are consistent with the characteristics of the asset / liability that market participants would take into account.

Fair values are categorized into different levels in a fair value hierarchy based on the degree to which the inputs to the measurement are observable and the significance of the inputs to the fair value measurement in its entirety:

- Level 1 fair value These measurements are derived from quoted prices (unadjusted) in active markets for identical assets or liabilities.

- Level 2 fair value These measurements are derived from inputs other than quoted prices included within Level 1 that are observable for the asset or liability, either directly (i.e. as prices) or indirectly (i.e. derived from prices).
- Level 3 fair value These measurements are derived from valuation techniques that include inputs for the asset or liability that are not based on observable market data (unobservable inputs).

Transfers between levels of the fair value hierarchy are recognised by the Company at the end of the reporting period during which the change occurred.

The accounting records are maintained in Bahraini Dinars (BD) which is the functional and reporting currency for these financial statements. The financial statements figures are rounded to the nearest dinar, unless otherwise stated.

2.3. Going Concern

The Company incurred losses in the current and previous years which affected the net worth of the Company. However, the parent (Mindteck India limited) has shown commitment to inject funds as and when needed. Hence, these financial statements are prepared on the basis that the Company is a going concern and will continue in operation for the foreseeable future and it has no intention or necessity to liquidate.

2.4. Application of new and amended accounting standards and interpretations

For the preparation of these financial statements, the following amended standards are mandatory for the first time for the current reporting period (the list does not include information about new or amended requirements that are not relevant to the Company):

- Revised Conceptual Framework (issued in March 2018): The revised Conceptual Framework includes a revised definitions of an asset and a liability as well as new guidance on measurement and derecognition, presentation and disclosure.
- IFRS 15 Revenue from Contracts with Customers: The standard provides a single comprehensive model for revenue recognition. The core principle of the standard is that an entity shall recognise revenue to depict the transfer of promised goods or services to customers at an amount that reflects the consideration to which the entity expects to be entitled in exchange for those goods or services. The standard introduced a new contract-based revenue recognition model with a measurement approach that is based on an allocation of the transaction price. This is described further in the accounting policies below. Credit risk is presented separately as an expense rather than adjusted against revenue. Contracts with customers are presented in an entity's statement of financial position as a contract liability, a contract asset, or a receivable, depending on the relationship between the entity's performance and the customer's payment. Customer acquisition costs and costs to fulfil a contract can, subject to certain criteria, be capitalised as an asset and amortised over the contract period.

▪ IFRS 16 Leases (issued in January 2016): This standard is applicable to annual reporting periods beginning on or after 1 January 2019. The standard replaces IAS 17 'Leases' and for lessees will eliminate the classifications of operating leases and finance leases. Except for short-term leases of 12 months or less and leases of low-value assets, a 'right-of-use' asset will be capitalised in the statement of financial position, measured at the present value of the unavoidable future lease payments to be made over the lease term. A liability corresponding to the capitalised lease will also be recognised, adjusted for lease prepayments, lease incentives received, initial direct costs incurred and an estimate of any future restoration, removal or dismantling costs. Straight-line operating lease expense recognition will be replaced with a depreciation charge for the leased asset (included in operating costs) and an interest expense on the recognised lease liability (included in finance costs).

▪ IFRS 9 Financial Instruments: The standard introduced new classification and measurement models for financial assets. A financial asset shall be measured at amortised cost if it is held within a business model whose objective is to hold assets in order to collect contractual cash flows which arise on specified dates and that are solely principal and interest. A debt investment shall be measured at fair value through other comprehensive income if it is held within a business model whose objective is to both hold assets in order to collect contractual cash flows which arise on specified dates that are solely principal and interest as well as selling the asset on the basis of its fair value. All other financial assets are classified and measured at fair value through profit or loss unless the entity makes an irrevocable election on initial recognition to present gains and losses on equity instruments (that are not held-for-trading or contingent consideration recognised in a business combination) in other comprehensive income ('OCI'). Despite these requirements, a financial asset may be irrevocably designated as measured at fair value through profit or loss to reduce the effect of, or eliminate, an accounting mismatch. For financial liabilities designated at fair value through profit or loss, the standard requires the portion of the change in fair value that relates to the entity's own credit risk to be presented in OCI (unless it would create an accounting mismatch). New impairment requirements use an 'expected credit loss' ('ECL') model to recognise an allowance. Impairment is measured using a 12-month ECL method unless the credit risk on a financial instrument has increased significantly since initial recognition in which case the lifetime ECL method is adopted. For receivables, a simplified approach to measuring expected credit losses using a lifetime expected loss allowance is available.

▪ Impact of adoption: IFRS 9 and IFRS 15 were adopted using the modified retrospective approach and as such comparatives have not been restated. The impact of adoption on opening retained profits as at 1 April 2018 was as follows:

	1 April 2018
Allowance for expected credit losses (IFRS 9)	2,872
Impact on opening retained profits as at 1 April 2018	2,872

▪ IFRIC 22 Foreign Currency Transactions and Advance Consideration (issued in December 2016). The Interpretation provides guidance clarifying that the exchange rate to use in transactions that involve advance consideration paid or received in a foreign currency is the one at the date of initial recognition of the non-monetary prepayment asset or deferred income liability.

2.5. New and amended pronouncements in issue but not yet mandatory or early adopted

The Company has not applied the following new or amended standards and interpretations that have been issued by the IASB but are not yet mandatory for the financial year ended 31 March 2019 (the list does not include information about new or amended requirements that are not relevant to the Company):

The management anticipate that the new standards, amendments and interpretations will be adopted in the Company's financial statements when they become effective, and this may have a significant effect on amounts reported in the Company's financial statements. However, it is not practicable to provide a reasonable estimate of that effect until a detailed review has been completed.

▪ Amendments to IAS 1 and IAS 8 (issued in October 2012 to clarify the definition of 'material' and to align the definition used in the Conceptual Framework and the standards themselves): The amendments, effective for annual reporting periods beginning on or after 1 January 2020, clarify that information is material if omitting, misstating or obscuring it could reasonably be expected to influence decisions that the primary users of general purpose financial statements make on the basis of those financial statements, which provide financial information about a specific reporting entity.

3. Summary of significant accounting policies

The principal accounting policies applied in the preparation of these financial statements are set out below. These policies have been consistently applied to all the years presented, unless otherwise stated.

3.1. Plant and equipment

On initial recognition, items of plant and equipment are recognised at cost, which includes the purchase price as well as any costs directly attributable to bringing the asset to the location and condition necessary for it to be capable of operating in the manner intended by management.

After initial recognition, items of plant and equipment are carried at cost less any accumulated depreciation and impairment losses. Depreciation is calculated on a straight line basis so as to write off the cost of an asset, less its estimated residual value, over its useful economic life at the following annual rates:

Furniture and fittings	15% – 20%
Motor vehicles	15%

Depreciation is charged from the month of acquisition while no depreciation is charged in the month of disposal. Useful lives, residual values and depreciation methods are reviewed, and adjusted if appropriate, at the end of each reporting period, with the effect of any changes in estimate being accounted for on a prospective basis.

An item of plant and equipment is derecognised upon disposal or when no future economic benefits are expected to arise from the continued use of the asset. Any gain or loss arising on the disposal or retirement of an item of plant and equipment is determined as the difference between the sales proceeds and the carrying amount of the asset and is recognised in the statement of profit or loss.

3.2. Trade and other receivables

Trade receivables are initially recognised at fair value and subsequently measured at amortised cost using the effective interest method, less any allowance for expected credit losses. Trade receivables are generally due for settlement within 30 days. The Company has applied the simplified approach to measuring expected credit losses, which uses a lifetime expected loss allowance. To measure the expected credit losses, trade receivables have been grouped based on days overdue. Other receivables are recognised at amortised cost, less any allowance for expected credit losses.

3.3. Cash and cash equivalents

Cash and cash equivalents in the statement of financial position comprise cash at bank. For the purposes of the statement of cash flows, cash and cash equivalents consist of cash and cash equivalents as defined.

3.4. Equity

Equity instruments are contracts that give a residual interest in the net assets of the Company. Ordinary shares are classified as equity. Equity instruments are recognised at the amount of proceeds received net of costs directly attributable to the transaction.

3.5. Employee benefits and entitlements

3.5.1. Employee terminal benefits

The Company contributes to the pension scheme for Bahraini nationals administered by the Social Insurance Organisation in the Kingdom of Bahrain. This is a defined contribution pension plan and Company's contributions are charged to the statement of profit or loss in the period to which they relate. In respect of this plan, the Company has a legal and constructive obligation to pay the contributions as they fall due and no obligations exist to pay the future benefits.

The expatriate employees of the Company are paid leaving indemnity in accordance with the provisions of the Bahrain Labour Law. The Company accrues for its liability in this respect on an annual basis.

3.5.2. Other employee benefits

Other employee benefits and entitlements are recognised as they accrue to the employees.

3.6. Other payables

These amounts represent liabilities for goods and services provided to the Company prior to the end of the financial year and which are unpaid. Due to their short-term nature they are measured at amortised cost and are not discounted. The amounts are unsecured and are usually paid within 30 days of recognition.

3.7. Related party transactions

Related parties comprise the Owner, directors and such other entities over which the Company or its Owner can exercise significant influence or can be significantly influenced by those entities. The Company enters into transactions with related parties on normal commercial terms and conditions.

3.8. Revenue recognition

The Company recognises revenue as follows:

3.8.1. Revenue from contracts with customers

Revenue is recognised at an amount that reflects the consideration to which the Company is expected to be entitled in exchange for transferring services to a customer. For each contract with a customer, the Company: identifies the contract with a customer; identifies the performance obligations in the contract; determines the transaction price which takes into account estimates of variable consideration and the time value of money; allocates the transaction price to the separate performance obligations on the basis of the relative stand-alone selling price of each distinct service to be delivered; and recognises revenue when or as each performance obligation is satisfied in a manner that depicts the transfer to the customer of the services promised.

Variable consideration within the transaction price, if any, reflects concessions provided to the customer such as discounts, rebates and refunds, any potential bonuses receivable from the customer and any other contingent events. Such estimates are determined using either the 'expected value' or 'most likely amount' method. The measurement of variable consideration is subject to a constraining principle whereby revenue will only be recognised to the extent that it is highly probable that a significant reversal in the amount of cumulative revenue recognised will not occur. The measurement constraint continues until the uncertainty associated with the variable consideration is subsequently resolved. Amounts received that are subject to the constraining principle are initially recognised as deferred revenue in the form of a separate refund liability.

3.8.2. Rendering of services

Revenue from a contract to provide services is recognised over time as the services are rendered based on either a fixed price or an hourly rate.

3.8.3. Interest income

Interest revenue is recognised as interest accrues using the effective interest method. This is a method of calculating the amortised cost of a financial asset and allocating the interest income over the relevant period using the effective interest rate, which is the rate that exactly discounts estimated future cash receipts through the expected life of the financial asset to the net carrying amount of the financial asset.

3.8.4. Other income

Other income is recognised on an accrual basis or when the Company's right to receive payment is established.

3.9. Foreign currency

Foreign currency transactions are translated into International currency units using the exchange rates prevailing at the dates of the transactions. Foreign exchange gains and losses resulting from the settlement of such transactions and from the translation at financial year-end exchange rates of monetary assets and liabilities denominated in foreign currencies are recognised in profit or loss.

3.10. Offsetting

Financial assets and liabilities are offset and the net amount is reported in the statement of financial position, if the Company has a legally enforceable right to set off the recognised amounts and the Company intends to settle either on a net basis or realise the asset and settle the liability simultaneously.

4. Critical accounting judgments, estimates and assumptions

In preparing its financial statements, the Company has made certain critical accounting judgments, estimates and assumptions that impact on the carrying value of certain assets and liabilities, income and expenses as well as other information reported in the notes. The Company periodically monitors such estimates and assumptions and makes sure they incorporate all relevant information available at the date when financial statements are prepared. However, this does not prevent actual figures differing from estimates.

The judgments made in the process of applying the Company's accounting policies that have the most significant effect on the amounts recognised in the financial statements, and the estimates and assumptions that have a significant risk of causing a material adjustment to the carrying amounts of assets and liabilities within the next financial year are addressed below.

4.1. Estimation of useful lives of assets

The Company determines the estimated useful lives and related depreciation and amortisation charges for its plant and equipment and finite life intangible assets. The useful lives could change significantly as a result of technical innovations or some other event. The depreciation and amortisation charge will increase where the useful lives are less than previously estimated lives, or technically obsolete or non-strategic assets that have been abandoned or sold will be written off or written down.

4.2. Allowance for expected credit losses

The allowance for expected credit losses assessment requires a degree of estimation and judgement. It is based on the lifetime expected credit loss, grouped based on days overdue, and makes assumptions to allocate an overall expected credit loss rate for each group. These assumptions include recent sales experience and historical collection rates.

4.3. Provisions

Provisions are recognised when the Company has a present (legal or constructive) obligation as a result of a past event, it is probable the Company will be required to settle the obligation, and a reliable estimate can be made of the amount of the obligation. The amount recognised as a provision is the best estimate of the consideration required to settle the present obligation at the reporting date, taking into account the risks and uncertainties surrounding the obligation. If the time value of money is material, provisions are discounted using a current pre-tax rate specific to the liability. The increase in the provision resulting from the passage of time is recognised as a finance cost.

4.4. Contingencies

Contingent liabilities are not recognised in the financial statements. They are disclosed unless the possibility of an outflow of resources embodying economic benefits is remote. A contingent asset is not recognised in the financial statements but disclosed when an inflow of economic benefits is probable.

4.5. Impairment of non-financial assets

Non-financial assets are reviewed for impairment whenever events or changes in circumstances indicate that the carrying amount may not be recoverable. An impairment loss is recognised for the amount by which the asset's carrying amount exceeds its recoverable amount. Recoverable amount is the higher of an asset's fair value less costs of disposal and value-in-use. The value-in-use is the present value of the estimated future cash flows relating to the asset using a pre-tax discount rate specific to the asset or cash-generating unit to which the asset belongs. Assets that do not have independent cash flows are grouped together to form a cash-generating unit.

5. Plant and equipment

	Furniture and equipment	Motor vehicles	Total
Cost :			
At 31 March 2018	3,477	6,000	9,477
At 31 March 2019	<u>3,477</u>	<u>6,000</u>	<u>9,477</u>
Accumulated depreciation:			
At 31 March 2018	3,290	6,000	9,290
Depreciation for the year	66	-	66
At 31 March 2019	<u>3,356</u>	<u>6,000</u>	<u>9,356</u>
Carrying amount :			
At 31 March 2018	187	-	187
At 31 March 2019	<u>121</u>	<u>-</u>	<u>121</u>

6. Trade and other receivables

	Note	2019	2018
Trade receivables		87,591	80,744
Allowance for expected credit losses	6.1	(8,237)	(4,852)
		79,354	75,892
Unbilled revenue		21,298	33,940
		<u>100,652</u>	<u>109,832</u>

6.1. Allowance for expected credit losses (2018: Provision for impairment of receivables)

The Company has recognised a loss of BD 513 in profit or loss in respect of the expected credit losses for the year ended 31 March 2019.

	2019	2018
Opening balance	4,852	27,378
Impact of IFRS 9	2,872	-
Additional provisions recognised	513	1,440
Utilised in the year for write-off of uncollectible receivables	-	(23,966)
	<u>8,237</u>	<u>4,852</u>

The ageing of the receivables and allowance for expected credit losses provided for above are as follows:

	Expected credit loss rate 2019 %	Carrying amount 2019	Allowance for expected credit losses 2019
Not overdue	5%	31,919	1,500
0 to 3 months overdue	6%	30,098	1,861
3 to 6 months overdue	19%	16,043	3,059
Over 6 months overdue	19%	9,531	1,817
		<u>87,591</u>	<u>8,237</u>

7. Advances, deposits and prepayments

	<u>2019</u>	<u>2018</u>
Prepayments	3,920	4,392
Advances to employees	2,598	1,904
Tender deposits	1,600	11,855
	<u>8,118</u>	<u>18,151</u>

8. Share capital

The share capital of the Company is BD 50,000 (2018: BD 50,000) comprising of 500 shares of BD 100 each wholly owned by Mindteck India Limited.

9. Statutory reserve

As required by the Bahrain Commercial Companies Law, Decree No. 21 of 2001, an amount equal to minimum of 10% of Company's net profit before appropriations is to be transferred to a non-distributable reserve account until such time as a minimum of 50% of the share capital is set aside. During the year, no transfer is made to such reserve, as the Company has incurred a loss (2018: Nil).

10. Employee terminal benefits

	<u>2019</u>	<u>2018</u>
Opening balance	45,192	48,000
Provision for the year	-	5,633
Payments during the year	(16,693)	(8,441)
Adjustment for the year	(7,566)	-
	<u>20,933</u>	<u>45,192</u>

11. Due to related parties

	Relationship	<u>2019</u>	<u>2018</u>
Mindteck Inc, USA	Sister concern	70,442	70,442
Mindteck India Limited	Parent company	26,223	15,673
Mindteck Inc, UK	Sister concern	5,848	-
		<u>102,513</u>	<u>86,115</u>

12. Accrued and other liabilities

	<u>2019</u>	<u>2018</u>
Leave salary	9,528	22,850
Accrued expenses	1,345	954
	<u>10,873</u>	<u>23,804</u>

13. Revenue

	<u>2019</u>	<u>2018</u>
Revenue from contracts with customers		
Rendering of services	263,601	379,059
	<u>263,601</u>	<u>379,059</u>

Disaggregation of revenue

	<u>2019</u>	<u>2018</u>
Geographical regions		
Bahrain	239,915	360,650
GCC	23,686	18,409
	<u>263,601</u>	<u>379,059</u>

	2019	2018
Timing of revenue recognition		
Services transferred over time	263,601	379,059
	<u>263,601</u>	<u>379,059</u>

14. Direct cost

	2019	2018
Salaries, wages and other benefits	190,672	299,274
Social Insurance	7,639	17,981
Other expenses	534	1,380
	<u>198,845</u>	<u>318,635</u>

15. Other income

	Note	2019	2018
Reversal of provision for leave salary		11,983	-
Reversal of provision for employee terminal benefits		7,566	-
Tamkeen grant	15.1	2,460	-
Miscellaneous		876	545
		<u>22,885</u>	<u>545</u>

15.1. Tamkeen grant

Tamkeen grant is towards salary reimbursement for fresh graduates.

16. General and administrative expenses

	Note	2019	2018
Employee costs	16.1	82,236	65,541
Office rent		6,017	6,017
Bank charges		2,471	3,066
Travelling and conveyance		2,110	2,410
Communication		1,807	1,170
Professional fee		1,558	1,704
Utilities		523	523
Expected credit losses of trade receivables		513	1,440
Repair and maintenance		235	187
Depreciation	5	66	84
Miscellaneous		481	1,954
		<u>98,017</u>	<u>84,096</u>

16.1. Employee costs

	2019	2018
Salary and allowances	46,901	35,886
Insurance	13,879	11,655
Employee benefits	9,080	6,988
Visa and immigration fees	3,058	2,868
Employee welfare	131	796
Others	9,187	7,348
	<u>82,236</u>	<u>65,541</u>

17. Related party transactions**17.1. Parent and ultimate controlling party**

The Company is fully owned and controlled by Mindteck India Limited which holds 100% of the ordinary share capital of the Company.

17.2. Transactions with parent company

	<u>2019</u>	<u>2018</u>
Expenses incurred by parent company	10,550	17,610
Expenses incurred on behalf of the parent company	-	5,545

17.3. Other related parties

	<u>2019</u>	<u>2018</u>
Funds received	5,848	-

The above transactions were made on the same terms as equivalent transactions with unrelated parties.

18. Contingencies and commitments**18.1. Contingencies**

There were no material contingencies known as at the date of the statement of financial position.

18.2. Commitments

The Company leases an office building under a short-term operating lease of two years. The future minimum lease payments payable under non-cancellable operating leases are as follows:

The future minimum lease payments payable under non-cancellable operating leases are as follows:

	<u>2019</u>	<u>2018</u>
No later than 1 year	-	3,008
	<u>-</u>	<u>3,008</u>

The Company has bank guarantees as at 31 March:

	<u>2019</u>	<u>2018</u>
Bank Guarantees – HSBC Middle East Ltd	-	6,854
	<u>-</u>	<u>6,854</u>

19. Financial instruments and risk management

Financial instruments include financial assets and liabilities carried on the statement of financial position. Financial assets include bank balances, deposits and trade and other receivables. Financial liabilities include other payables and due to related parties. The particular recognition methods adopted are disclosed in the individual policy statements associated with each item.

The Company has exposure to the following risks from its use of financial instruments:

19.1. Credit risk

Credit risk is the risk that one party to a financial instrument will cause a financial loss for the other party by failing to discharge an obligation. All financial assets are subject to credit risk.

Maximum exposure to credit risk before collateral held or other credit enhancements are as follows; the exposures set out below are based on net carrying amounts as reported in the statement of financial position:

	Maximum exposure	
	2019	2018
Bank balances	15,180	13,691
Tender deposits	1,600	11,855
Trade and other receivables	100,652	109,832
	<u>117,432</u>	<u>135,378</u>

19.2. Foreign exchange risk

Foreign exchange risk is the risk that the fair value of future cash flows of financial instrument will fluctuate because of changes in foreign exchange rates. The Company takes on exposure to the effects of fluctuations in the prevailing foreign currency exchange rates on its financial position and cash flows. At 31 March 2019, if the currency had weakened/strengthened by 10% against Qatari Riyal with all other variables held constant, profit for the year would have been BD 7 higher/lower.

19.3. Liquidity risk

Liquidity risk is the risk that an entity will encounter difficulty in meeting obligations associated with financial liabilities. Liquidity risk may result from an inability to sell a financial asset at close to its fair value. The Company's liquidity management process includes: working capital funding, managed by monitoring future cash flows to ensure that requirements can be met and monitoring liquidity ratios against internal and regulatory requirements.

The maturity analysis of financial assets and liabilities at 31 March is as follows:

2019

	Carrying amount	Less than 6 months	6 to 12 months	1 to 5 years
Assets				
Bank balances	15,180	15,180	-	-
Tender deposits	1,600	1,100	500	-
Trade and other receivables	100,652	100,652	-	-
	<u>117,432</u>	<u>116,932</u>	<u>500</u>	<u>-</u>
Liability				
Due to related parties	102,513	102,513	-	-
Other payables	18,538	18,538	-	-
	<u>121,051</u>	<u>121,051</u>	<u>-</u>	<u>-</u>

2018

	Carrying amount	Less than 6 months	6 to 12 months	1 to 5 years
Assets				
Bank balances	13,691	13,691	-	-
Tender deposits	11,855	-	11,855	-
Trade and other receivables	109,832	109,832	-	-
	<u>135,378</u>	<u>123,523</u>	<u>11,855</u>	<u>-</u>
Liability				
Due to related parties	86,115	86,115	-	-
Other payables	2,288	2,288	-	-
	<u>88,403</u>	<u>88,403</u>	<u>-</u>	<u>-</u>

19.4. Fair value of financial assets and liabilities

The carrying amounts of trade and other receivables, other payables and due to related parties are assumed to approximate their fair values due to their short-term nature. The fair value of financial liabilities is estimated by discounting the remaining contractual maturities at the current market interest rate that is available for similar financial liabilities.

19.5. Capital risk management

The Company manages the capital structure in the context of economic conditions and the risk characteristics of the underlying assets. The Company's objective when managing capital is to safeguard the Company's ability to continue as a going concern and to maintain a capital base to support the sustained development of its businesses and maximize the owner's wealth.

20. Comparative figures

Comparatives figures have been regrouped or reclassified where necessary for the purpose of comparison. Such reclassifications do not affect previously reported profit or liquidity.